

A Preparation for Investor Questions

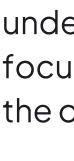
Preparing for investor questions is a critical yet often overlooked aspect of fundraising. Underestimating the importance of this step can significantly delay your ability to raise funds or even hinder your ability to engage investors effectively. As such, this page was designed to help you prepare for potential investor questions.

Each question requires a well-considered answer that sells your business and its progress to the greatest extent. You should approach preparing for investor questions with the same level of thoughtfulness as you do your pitch. Every answer should be well-thought-out, even to the point of being semi-scripted, to ensure you present your business in the best possible light. Practice answering these questions aloud with your co-founder, refining and improving your responses each time you go through them.

- ➔ **Remember:** The pitch will get you the meeting, the investor questions will get you the money.

Here's What You Should Prepare:

- An ongoing spreadsheet with columns for "**Topic/Chapter**," "**Question**," and "**Answer**," designed to compile and refine the most compelling answers to the 30–50 most challenging and frequently asked questions.
- Once formulated, ask your coach to **proofread your answers** and potentially include key VC terminology.
- Use **stories and anecdotes** to bring your company to life, such as customer experiences or quirks of the industry.
- **Know your numbers**—there are no excuses for being sloppy with financials or metrics.
- Be confident in the delivery of your answers, investors are looking for **confidence and conviction**.
- Remember, you'll present these in a **conversation**, not a transactional Q&A format.
- Each answer should be a sell, **painting you in the best light possible**.
- If you haven't already, please internalise the [Pyramid Principle](#) ("start with the answer first").



Collection of Investor Questions

The questions below are meant to serve as **thought starters**. While investors are unlikely to ask all of these questions directly, they will expect you to address the underlying themes during your conversation. **The specific questions** and areas of focus will vary depending on what you're building, what stage you're in, and who's on the other side of the table.

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1 Opening questions

- So, tell me what you're up to?
- What are you guys building?
- What are you working on?

2 Team

- Who is on your team? How do you get along?
- What makes your team world-class? Why are you exceptionally well suited for building this?
- How did the co-founders meet? Tell me about the founding of the company.
- What are your roles? Who owns what? Where do you tend to disagree? How do you handle disagreement and conflict?
- Why are you the best team to solve this problem?
- What is the team structure, and do you have any key hires planned?

3 Problem & Solution

- What problem are you solving?
- How are you solving it?
- What is the impact of this problem on the customer, and what does it cost them?
- How do customers currently solve this problem?
- Is your product an entirely new category, or an improvement on a product category that already exists?
- Why is your solution 10x better than what currently exists?
- How does your solution uniquely address this problem?
- What's new about what you make?
- What are the top things users want?

4 Product (Demo)

- How does your product work in more detail?
- Can you give me a demo of the product?
 - During the demo:
 - What part of the product are you most excited about?
 - What is your 10x feature?
 - Can you show me something you know how to build that the rest of the world hasn't seen yet?
 - And finally, what frustrates you the most about your product right now?
 - Can you demonstrate that your software is truly great, not just good?
 - Can you show me that you can build software faster than anyone else in your industry?
 - What are the top feature gaps you have?
- Talk me through the product road map.

5 Technology

- What technology stack are you using, and why?
- Do you have any proprietary technology or intellectual property?
- What part of this are you going to build first?

6 Market

- Who needs what you're making?
- What is the size and growth potential of your target market?
- Who are your target customers, and how well do you understand their needs?
- How many people are in your target market?
- How big is the market?
- How fast is the market growing?
- Who are your competitors? Who might become competitors?
- Which competition do you fear most?
- How many users do your competitors have?
- How much time and money do users in your target market waste before switching to your product/service?
- What are some trends in your target market, and related markets?

7 Business Model & Unit Economics

- How will you make money?
- What's your pricing approach? Why?
- What are your unit economics?
- Know the metrics relevant for your business model. What are your Monthly Recurring Revenue (MRR), Customer Lifetime Value (CLV), Customer Acquisition Cost (CAC), churn rate, and other key performance indicators?
- How does this become a billion-dollar company?

8 GTM / Customer Acquisition

- Who are the buyers / decision makers? Who is the named person within the organisation who you will be selling to? What is their job title? How big is their budget?
- Are these the same people as your customers? How do they relate to the end user?
- Are there any other stakeholders, and what are each group's motivations / incentives?
- What position does the problem you're addressing fall on the customer's list of priorities?
- What procurement process will you have to go through (B2B)? How long does this take? What can you do to get round it?
- How long does it take to go from first contact with customer to sale?
- Are they actively looking for a solution like yours?
- What other options are they currently using / considering instead?
- What is your go-to-market strategy, and how do you plan to acquire customers?
- Who is going to be your first paying customer / who was your first paying customer?
- How do/will you get users?
- How do users know they need this?
- How will users find out about you?
- What makes new users try you?
- What makes new users reluctant to try you? How will you overcome that resistance?
- Once you have customers, what will you do to keep them?

9 Defensibility & Competition

- What exactly makes you different from existing options?
- Who are your main competitors, and how do you differentiate from them?
- What are your "moats"? What barriers to entry can you set up in your business?
- What if Alphabet/OpenAI/Microsoft/etc. builds this?

10 Traction & De-Risking

Please read the article "[How to De-Risk A Startup](#)"

- What traction do you have?
- How many users/customers/pilots do you have? How many are active? How many of the pilots are paid?
- How much money do you make? Is it recurring revenues?
- What's your conversion rate? What's your engagement rate?
- What customer feedback have you received?
- What are the most important risks of your business? How have you de-risked this? How have you de-risked your technology?
- What (early) signs of PMF have you?

11 Financials & Funding

- What are your current financial metrics (burn rate, runway, revenue, etc.)?
- What is your projected financial outlook for the next 12–18 months?
- What are your gross margins and COGS? When do you break even? What is your main cost driver?
- What's the cap table like?
- How much equity (and debt or grants) has the company raised?
- What future equity or debt financing will be necessary?
- How much of a stock option pool is being set aside for employees?
- How much burn will occur until the company gets to profitability?
- How much is being raised in this round?
- What is the company's desired valuation (cap)?
- What is the planned use of proceeds from this round?
- What milestones will this round of financing help you achieve?

12 Other

- Why is now the right time for your startup to succeed? What trends or changes in the market support your timing?
- What have you learned so far from working on this idea?
- Why isn't someone already doing this?
- What are the key things about your field that outsiders don't understand?
- What keeps you up at night?
- What obstacles will you face, and how will you overcome them?
- Six months from now, what's going to be your biggest problem?
- What are your key performance indicators (KPIs)?
- How do you measure success and track progress?
- How scalable is your business model?
- What challenges do you anticipate in scaling?

